Ford Motor Company

A.R. O'Neill
Director
Vehicle Service and Programs
Ford Customer Service Division

Ford Motor Company
P. O. Box 1904
Dearborn, Michigan 48121

September 2000

TO: All Ford and Lincoln Mercury Dealers

SUBJECT: **DEMONSTRATION/DELIVERY HOLD**: **Owner Notification Program 00B54**
Supplement #1: Certain 2001 Model Year F-Series over 8500# GVW, Excursion, Expedition, Navigator, Econoline and F-Super Duty Motorhome Stripped Chassis Vehicles with 4R100 Transmission – **Transmission Replacement**

REFERENCE: Dealer Letter Dated August 30, 2000:
DEMONSTRATION/DELIVERY HOLD: **Owner Notification Program 00B54**

OASIS :	Yes
OWNER LIST:	Yes
PARTS RETURN:	**Yes** ($1,000 core charge if not returned)
PROGRAM TERMS:	This program will be in effect until October 31, 2001, regardless of mileage.

AFFECTED VEHICLES

All of the following 2001 model year vehicles built from Job#1 through August 27, 2000 with 4R100 transmission and either 6.8L or 5.4L engine:

- F-250, F-350, F-450, F-550, and Excursion vehicles built at Kentucky Truck Plant
- Expedition and Navigator vehicles built at Michigan Truck Plant
- Econoline vehicles built at Lorain Assembly Plant
- F-250, F-350, F-450, and F-550 vehicles built at Cuautitlan Assembly Plant
- F-Super Duty Motor Home Stripped Chassis (F-53) built at Detroit Chassis Plant

REASON FOR THE DEMONSTRATION / DELIVERY HOLD

The transmission could be damaged internally and, potentially, could result in a loss of second gear or, ultimately, an inability to move the vehicle if it is driven under certain conditions.

- End of line testing has identified mechanical diode intermediate one-way clutch failure on the affected vehicles equipped with the 6.8L 2-valve and 5.4L (2-valve and 4-valve) engine combinations. (7.3L Diesel applications are not affected)
- The 4R100 transmission has also experienced some one-way clutch failures in some of the affected vehicles during the wide open throttle 1-2 back-out/tip-in maneuver.

SERVICE PROCEDURE

At no charge to the owners, dealers will remove the transmission and install a revised transmission.

LIMITED PARTS AVAILABILITY

Parts are in limited supply. Initially, parts will be allocated only for repair of units already delivered to customers. (See Attachment II)

DEALER-OWNER CONTACT AND OWNER LETTER MAILING

Owner letter mailing is being expedited and may occur as early as Sept. 19, 2000. If you have recently sold a vehicle and not yet notified Ford Motor Company of the sale, please contact that owner immediately and provide them a copy of the owner letter.

LINCOLN COMMITMENT SPECIAL HANDLING PROCEDURE

The Lincoln Commitment Special Handling Procedure has been activated for all Lincoln owners affected by this owner notification program. Please see dealer announcement dated 12/17/98, Lincoln Commitment Special Handling Procedure (Attachment IV). The special handling procedure provides additional allowance to enable dealers to offer Lincoln owners convenient vehicle handling.

Lincoln Mercury is asking for your support and the cooperation of your sales and service teams to make this a positive experience for our Navigator customers.

LOW VOLUME OWNER NOTIFICATION PROGRAM

This Owner Notification Program is being processed as a Low Volume program. This type of field action was announced in an All-Dealer letter dated May 10, 1999. (See Attachment V)

Owners will be contacting the Low Volume Program Coordination Center to arrange for this service. We will advise you via MORS III of the owners that chose your dealership to perform the service provided by this program. The parts will be ordered for you by the Program Coordination Center.

You are requested to contact the owner and arrange for this service. (Note that our Coordination Center will advise owners that they will hear from you within the next two business days.)

ATTACHMENTS

Attachment I: Administrative Information
Attachment II: Labor Allowances and Parts Ordering Information
Attachment III: Technical Information
Attachment IV: Lincoln Commitment Special Handling Procedure Announcement Letter
Attachment V: Low Volume Dealer Announcement Letter
Customer Notification Letter

QUESTIONS?

Claims Information:……...1-800-423-8851
Other (Dealer Only) Recall Questions:……...1-800-325-5621

Sincerely,



Ann O'Neill
Director
Vehicle Service and Programs

DEMONSTRATION/DELIVERY HOLD:
Owner Notification Program 00B54 Supplement #1:
Certain 2001 Model Year F-Series over 8500# GVW, Excursion, Expedition, Navigator, Econoline and F-Super Duty Motorhome Stripped Chassis Vehicles with 4R100 Transmission
–**Transmission Replacement**

OASIS

You must use OASIS to determine if a vehicle is eligible for this program.

Owner letter mailing is being expedited and may occur as early as Sept. 19, 2000. If you have recently sold a vehicle and not yet notified Ford Motor Company of the sale, please contact that owner immediately and provide them a copy of the owner letter.

PLEASE NOTE

Correct all vehicles in stock before delivery.

Please note that parts will be allocated first for units already delivered to customers.

PROMPTLY CORRECT

Promptly correct all affected vehicles on your dealer VIN list which you will receive in the Ford Dealer Consolidated Communicator (FDCC). Also, correct other eligible vehicles which are brought to your dealership.

DEALER-OWNER CONTACT AND OWNER LETTER MAILING

Note: **1. Special Handling:**
Lincoln Owners should receive the " Lincoln Commitment Special Handling Procedure". Before calling Lincoln owners, review Attachment IV to familiarize yourself with this special handling procedure.

2. Owner Notification Program 00B54 is a Low Volume Program:
When you receive notification through MORS III, you should contact the owner and arrange for this service. Please note that our Coordination Center will advise owners that they will hear from you within the next two business days. For more information, see attached copy of "Low Volume Announcement Letter" dated May 10,1999.

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–**Transmission Replacement**

REGIONAL CONTACT

Advise regional office if an owner:

- cannot be contacted.
- does not make a service date.

CLAIMS PREPARATION AND SUBMISSION

- Enter claims using DWE.
- Refer to ACESII manual for claims preparation and submission information.
- To claim for the "Lincoln Commitment Special Handling", follow the instructions on page two of Attachment IV.

RENTAL CARS

Ford Motor Company will pay for a rental vehicle, except for fuel which will be at owner's expense. Enter the word "LOANER" plus the number of days the vehicle was used in the Miscellaneous Expense area.

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LABOR ALLOWANCES

DESCRIPTION The following labor times include: 1. Removing the transmission, 2. Flushing the torque converter and transmission cooler 3. Installing new transmission and 4. Performing a road test	**LABOR OPERATION**	**LABOR TIME**
F-250, 350, 450, 550 & Excursion 4X2 5.4L & 6.8L	00B54B	3.3 Hrs.
F-250, 350, Excursion, Expedition, Navigator 4X4 5.4L	00B54C	5.4 Hrs.
F-250, 350, 450, 550, & Excursion 4X4 6.8L	00B54D	3.8 Hrs.
Expedition & Navigator 4X2 5.4L	00B54E	3.5 Hrs.
Econoline & Econoline Super Duty 5.4L & 6.8L	00B54F	4.6 Hrs.
F-53/Motorhome 6.8L	00B54G	3.8 Hrs.
Lincoln Commitment Special Handling:*	Misc. Expense Code "LCHP"	See Attachment IV

* Lincoln Commitment Special Handling does not apply to vehicles in dealer stock.

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PARTS REQUIREMENTS

Parts Order Information

Ordering process common to both dealer stock units and customer delivered:

Transportation to dealerships, both inbound and outbound, will be third party paid directly by Ford Customer Service Division. Information regarding return of transmission core will accompany each replacement transmission.

Parts are **"DIRECT SHIP"** and will be shipped directly to dealers from the supplier, Autocraft Industries.

Customer delivered vehicles

Parts will be shipped to your dealership according to the procedures established for "Low Volume Recall". Until further notice, DO NOT ORDER PARTS for customer vehicles. (Refer to Attachment IV)

Transmission assemblies will be direct shipped beginning approximately September 20 and continue over the next several weeks.

In stock vehicles

Correct all vehicles in stock before delivery. Parts will be direct shipped based on your vehicle count beginning approximately September 20, 2000 and continue over the next several weeks.

The Campaign Coordination Center will call dealers prior to any shipment to verify that the vehicle involved is currently in their inventory.

NEW TRANSMISSION CORE RETURN PROCESS FOR THIS PROGRAM

After completing the repair, you must put the shipping plugs from the new transmission on the core in order to prepare the core for shipping. Use the same black dunnage that the new product was shipped in to ship the core back to the supplier.

When the freight carrier delivers your new transmission from the manufacturer, they will provide a preprinted bill of lading that you will need to use to return the core. After finishing the repair, it is important that you contact the carrier to get the core picked up in a timely manner. Use the following numbers to get the core picked up:

From 9/19/2000 through 12/31/2000, call SurfAir at 1-800-326-1660
After 12/31/2000, call Consolidated Freightways at 1-800-373-8876 (1-800-3RETURN)

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PART NUMBERS AND DESCRIPTIONS

Kit Code	Vehicle Description	Part Number
AA	F-SERIES >8500# 5.4 4X2	1C3P-7000-AB
BB	F-SERIES >8500# 5.4 4X4	1C3P-7000-BB
CC	F-SERIES >8500# 6.8 4X2 W/O TAKE OFF	1C3P-7000-CB
DD	F-SERIES >8500# 6.8 4X4 W/O TAKE OFF	1C3P-7000-DB
EE	F-SERIES >8500# 6.8 4X2 POWER TK OFF	1C3P-7000-HB
FF	F-SERIES >8500# 6.8 4X4 POWER TK OFF	1C3P-7000-JB
GG	F53	1C3P-7000-KB
HH	E-SERIES 5.4 NON SUPER DUTY	1C2P-7000-AB
II	E-SERIES 5.4 SUPER DUTY	1C2P-7000-NB
JJ	E-SERIES 6.8 NON SUPER DUTY	1C2P-7000-BB
KK	E-SERIES 6.8 SUPER DUTY	1C2P-7000-CB
LL	EXPEDITION/NAVIGATOR 4X2 5.4 2V	1L1P-7000-AB
MM	EXPEDITION 4X4 5.4 2V	1L3P-7000-BB
NN	NAVIGATOR 4X2 5.4 4V	1L7P-7000-AB
OO	NAVIGATOR 4X4 5.4 4V	1L7P-7000-BB
PP	EXCURSION 4X2 5.4	1C3P-7000-NB
QQ	EXCURSION 4X2 6.8	1C3P-7000-PB
RR	EXCURSION 4X4 5.4	1C3P-7000-BB
SS	EXCURSION 4X4 6.8	1C3P-7000-DB

DOR/COR Information

All parts shipped will be using DOR/COR #50180

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TECHNICAL INSTRUCTION

Repair
For removal and replacement of the 4R100 Transmission follow the instructions in the appropriate 2001 Workshop Manuals:

F-Super Duty, Excusion, and F-Super Duty Motorhome:	Section 307-01
Expedition, Navigator, and Econoline:	Section 307-01A

Tag Removed Transmission

It is important that the removed transmission is tagged and the transmission identified as "**new**" or "**used**". This tag will come with the new transmission.

Bell Housing Tag

Please complete this tag with the vehicle and dealer information and tie to the bell housing of the removed transmission.

VIN _____

Removed Transmission

Serial Number _____

Dealer P&A Code _____

Transmission from a:

(Check Appropriate Box:) ☐ NEW/UNUSED VEHICLE

☐ CUSTOMER'S VEHICLE

Shipping Tag

Also, make sure that the shipping tag is completed

Program Announcement Letter
Lincoln Commitment Special Handling

Ford Customer Service Division

Ford Motor Company
P.O. Box 1904
Dearborn, Michigan 48121

December 17, 1998

To: All Lincoln Mercury and Ford Dealers

cc: Parts Managers
Service Managers

Subject: Announcing Lincoln Commitment Special Customer Handling Procedure for Certain Recalls and Owner Notification Programs

As part of our ongoing commitment to Lincoln customers, we are pleased to announce the Lincoln Commitment Special Customer Handling Procedure to provide additional dealer compensation for certain Recalls and Owner Notification Programs(ONP's) that affect Lincoln brand vehicles.

This additional compensation is being provided to allow dealers to provide personalized service designed to make the recall repair a positive experience for the Lincoln customer, many of whom are new to the Lincoln family.

Each Recall/ONP Bulletin affecting Lincoln vehicles will indicate whether the Lincoln Commitment Special Customer Handling Procedure is authorized; please note that not every Recall/ONP will qualify for this procedure and that the procedure will not be communicated to customers as a normal benefit of the Lincoln Commitment Program. Special handling and claiming instructions are included on the attached page. This program will apply only to Lincoln vehicles which have been delivered to customers.

We ask you to make maximum usage of these special enhancements to the Lincoln Commitment Program when applicable. Thank you in advance for your support of this program and our commitment to surprise and delight our Lincoln customers.

/O.S.B./
Mark Hutchins
President
Lincoln Mercury

/O.S.B./
M. D. Jordan
Executive Director
Ford Customer Service Division
North America

If Dealer Picks up and Returns Vehicle for Customer:

Special Service	Dealer Compensation	Claim Procedure
• Pick up the customer's vehicle (at a location of their preference such as home or place of business) and return after repair* • Drop off comparable loaner vehicle • Refill fuel tank • Wash and vacuum vehicle • Return vehicle to customer after repair is completed	Up to 2 hours additional labor (converted to a dollar amount) plus actual cost of fuel and wash/vacuum Note: Labor time to fill tank and wash/vacuum has been included in 2 hour allowance Labor subject to time recording procedures as outlined in Warranty & Policy Manual	Submit total dollar value (labor+fuel+wash/vacuum) using Misc. Expense Code "LCHP" EXAMPLE (using example labor rate of $58/hour and fuel cost of $1.05/gallon): 1.2 hrs. labor* = $69.60 9.0 gals fuel = 9.45 Wash/vacuum = 3.50 Total Submitted = $82.55 *travel time+fueling/washing labor
Provide comparable loaner vehicle to customer when vehicle is picked up	Actual cost up to a maximum of $35 per day for a Lincoln loaner or up to $28 per day for a Mercury or Ford loaner (This does not count against TAP allocation)	Submit up to 3 days maximum using "LOANER" (if additional days are required, call 1-800-325-5621 for authorization)
Perform Recall/ONP repair at dealership	Inspection/repair labor allowance as specified in Recall/ONP Bulletin	See applicable Recall/ONP Bulletin

*Or repair on-site if appropriate; if on-site repair is performed, rental charges do not apply.

If Customer Brings Vehicle to Dealer:

Special Service	Dealer Compensation	Claim Procedure
Perform Recall/ONP repair at dealership	Inspection/repair labor allowance as specified in Recall/ONP Bulletin	See applicable Recall/ONP Bulletin
Provide comparable loaner vehicle to customer	Actual cost up to a maximum of $38 per day for a Lincoln loaner or up to $28 per day for a Mercury or Ford loaner (This does not count against TAP allocation)	Submit up to 3 days maximum using "LOANER" (if additional days are required, call 1-800-325-5621 for authorization)
Refill fuel tank and wash/ vacuum vehicle	Up to 0.5 hour additional labor (converted to a dollar amount) plus actual cost of fuel and wash/vacuum	Submit total dollar value (labor+fuel+wash/vacuum) using Misc. Expense Code "LCHP"

ATTACHMENT V

All Dealer Letter
Part Procurement Process for Low Volume Programs

Ford Customer Service Division

Ford Motor Company
P.O. Box 1904
Dearborn, Michigan 48121

May 10, 1999

To: All Ford and Lincoln Mercury Dealers

cc: All Parts Managers
All Service Managers

Subject: Updated Part Procurement Process For Low Volume Recalls

The purpose of this communication is to update the process for dealer acquisition of service parts for certain Recalls/Owner Notification Programs with a small number of involved vehicles.

Background:

- Situations where Recalls/Owner Notification Programs have a small number of involved units require special handling.
- There are no controls in the parts system to prevent the over-ordering of parts in low volume situations.
- Many dealers order one or more parts even if they do not have an involved unit to insure customer satisfaction. This can result in parts in the inventory of dealers who do not need them and exhausted supply for dealers who do need them.
- With existing procedures, there is a cost to the Company and the Dealers (handling, returning, scrapping, etc.).

What's "Small Volume"?

- Generally, recalls, or ONP’s involving 5,000 or fewer vehicles.

What We Propose

- Procedure to better manage "Parts-To-Affected-Vehicle" process.
- Vehicle owner (retail customer/fleet/dealer) requested to contact a "process facilitator" via a special 1-800 toll-free line or with a special postcard provided with the owner letter.
- Process facilitator verifies VIN/Owner information and works with owner (or dealer) to identify repairing dealer.
- Process facilitator inputs part order and sends a MORS III message with Customer/VIN/part shipping information to the identified repairing dealer.
- Dealer would be charged for the part at the lowest acquisition cost.

What's Different:

- Owner asked to call special toll-free line or send back special postcard.
- Parts would not be available through the normal parts ordering system.
- Owners would need to have an appointment.

Dealer Benefits:

- Eliminates back-orders—guarantees part availability.
- Increases customer satisfaction with your "Service Experience"
- New process will enable dealers to initiate pro-active service scheduling—with the information we will provide on the MORS III message, you call the customers to arrange a service appointment knowing that the part will be there and the customer's vehicle needs service.

Additional details will be provided as specific Recalls/Owner Notification Programs suitable for this process are launched.

We ask that you share this procedure with your parts and service personnel to insure they are aware of this process.

Ann O'Neill
Director
Vehicle Service and Programs

R. E. Turecki
Director
Global Parts Supply and Logistics

Ford Motor Company

Ford Motor Company
P. O. Box 1904
Dearborn, Michigan 48121
1-800-392-3673

September 2000

00B54

Mr. John Sample
123 Main Street
Anywhere, USA 12345

Your Vehicle Identification Number: 12345678901234567

Ford Motor Company is providing a no-charge service, Program Number 00B54, to owners of certain 2001 Model Year F-250, F-350, F-450, F-550, Excursion, Expedition, Navigator, Econoline, and F-Super Duty Motorhome Stripped Chassis Vehicles with 4R100 Transmission.

Reason For This Program…

The transmission could be damaged internally and, potentially, could result in a loss of second gear or, ultimately, an inability to move the vehicle if it is driven under certain conditions.

What *Ford Motor Company* and your dealer will do…

At no charge to you, your dealer will remove the transmission and install a new revised transmission.

This program will be in effect until October 31, 2001, regardless of mileage.

What we are asking you to do…

Please call toll-free 1-800-248-0186 and inform the Ford representative that you wish to have your vehicle serviced under Owner Notification Program 00B54. Representatives are available 7:30AM to 7:30PM Monday through Friday, and 8:00AM to 3:00PM on Saturday (times are Eastern Time).

Please have this letter with you when you call. The Ford representative will ask for the serial number of your vehicle. The serial number is printed on the top of this letter.

Arrangements will be made with the dealership of your choice to have parts available. The dealership will call you to schedule an appointment. If you have not heard from your dealer within two working days, call your dealer to request a service appointment. You need do nothing else except bring your vehicle to the dealership on the service date.

When you bring your vehicle in, show the dealer this letter. If you misplace this letter, your dealer will still do the work, free of charge.

How long will it take?

The time needed for this repair is less than one day. However, due to service scheduling issues, your dealer may need your vehicle for a longer period of time.

If you've changed address or sold the vehicle…

Please fill out the enclosed prepaid postcard and mail it to us if you have changed address or sold the vehicle.

If you have concerns…

If you have trouble getting your vehicle repaired promptly and without charge, please contact the Ford Motor Company Customer Assistance Center and one of our representatives will be happy to assist you:

CALL: (800) 392-3673
(800) 232-5952 (TDD for the Hearing Impaired)
Office Hours: (Eastern Standard Time)
Monday-Friday: 8am - 11pm
Saturday: 9am - 6pm

or you may contact us through the Internet at:
www.ownerconnection.com
Our current response time to Internet inquiries is three business days.

MOTORHOME OWNERS: Please call the Motorhome Customer Assistance Center toll free at 1-800-444-3311 and one of our representatives will assist you.

Quality Care service is there for you all year round.

QualityCare™ at your service

Quality Care is the commitment of Ford Motor Company and its dealerships to provide you with a superior service and ownership experience. While we regret the inconvenience caused by this program, we stand committed with our dealers to assist you with all of your automotive service needs. With our nationwide dealer network, we're here to ensure you receive Quality Care service so that your vehicle maintains peak performance throughout your ownership experience.

We pride ourselves on becoming the world's leading consumer company for automotive products and services. Again, we are sorry for the inconvenience. Thank you for your attention to this important matter.

Sincerely,



Ann O'Neill
Director
Vehicle Service and Programs